

**Jurisdictional Dialogue #2
Malaysia**

Awareness Training for Oil Palm Smallholders on EUDR Requirements

Prime City Hotel, Kluang, Johor
17 December 2025



Implementation Partners:



Solidaridad

Supported by:



Table of Contents

Background	3
Objectives	3
Opening Session	4
Welcoming Remarks	4
Session 1: Understanding EUDR Requirements for Smallholder	5
Session 2: Legality Compliance	8
MPOB Licensing Counter	10
Session 3: Overview of MSPO Part 2-1 for Smallholders	11
Session 4: Importance of Smallholder Inclusivity	13
Session 5: Smallholder Inclusivity in EUDR-Compliant Supply Chain	14
Conclusion	15

Background

The European Union Deforestation Regulation (EUDR) represents a major initiative by the EU to combat global deforestation and promote sustainability in international trade. The regulation requires companies to ensure that imports of seven key commodities including palm oil, rubber, cocoa, coffee, cattle, wood and soy are not linked to deforestation or forest degradation, thereby establishing deforestation-free supply chains.

As one of the world's leading palm oil producers, operators active in the Malaysia's palm oil supply chain recognise the importance of fulfilling due diligence requirements (DDS) before selling palm oil-derived products in the European market. DDS requires companies to provide certain data (which they may ask from smallholder farmers) to prove that their products are not derived from deforestation. The country remains firmly committed to maintaining market access and safeguarding its global reputation

by strengthening traceability systems, promoting deforestation-free practices and supporting smallholder inclusion. Smallholders play a vital role in Malaysia's palm oil supply chain, contributing substantially to national production. However, they continue to face challenges related to legal compliance, traceability and certification, which Malaysia is actively addressing through targeted capacity-building and support initiatives.

In response, this awareness training in Kluang, Johor aims to enhance the capacity of oil palm smallholders to meet EUDR expectations, focusing on legality compliance and sustainability certification for due diligence readiness. By the end of the session, participants are expected to gain a clearer understanding of how smallholders can contribute to providing information for operators to fulfill the obligations EU companies have, improve awareness of legality, strengthen readiness for EUDR-aligned traceability systems and establish stronger collaboration between smallholders, government and private sector partners. A total of 43 smallholders from Kluang, Pontian, and Batu Pahat have attended this event.

Objectives



Increase understanding among oil palm smallholders on the EU Deforestation Regulation (EUDR) and its relevance to the palm oil sector.



Enhance knowledge and compliance with Malaysian legal frameworks, particularly through MPOB licensing.



Enhance awareness of sustainability standards and certification requirements under MSPO Part 2-1 for smallholders.



Share knowledge of initiatives that support smallholders within the supply chain from the perspective of the private sector.



Document best practices and lessons learners to accelerate the application and renewal of MPOB licenses at the district level.

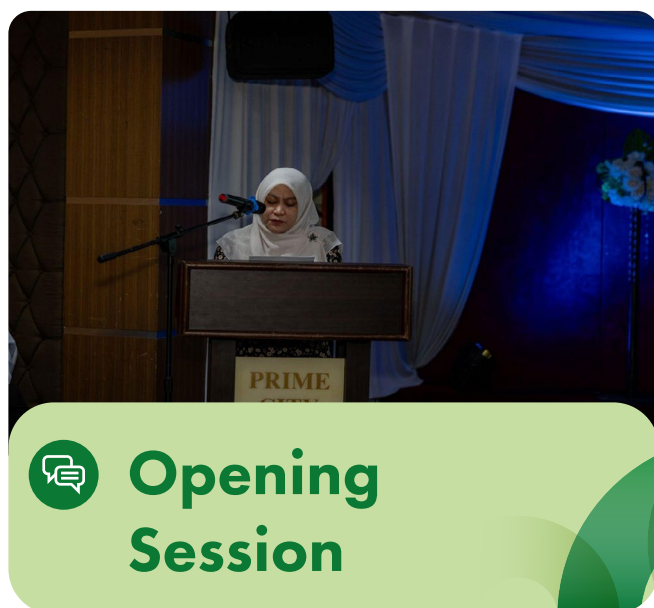


Figure 1: Siti Mariyam, Programme Manager of Solidaridad Malaysia

The opening session commenced with a speech by Mrs. Siti Mariyam binti Ijab, Programme Manager of Solidaridad. She highlighted Solidaridad's role as the implementing partner for the Sustainable Agriculture for Forest Ecosystems (SAFE) programme in Malaysia, an initiative of the European Union aimed at supporting commodity-producing countries in transitioning towards deforestation-free supply chains in line with the European Union Deforestation Regulation (EUDR). She emphasised that the programme seeks to raise awareness among smallholders on providing relevant information to operators to ensure their continued inclusion in global supply chains.

She further shared that under the SAFE programme, a series of Technical Dialogue sessions had been conducted in hybrid format in Putrajaya and Jakarta, involving industry stakeholders from key commodities such as oil palm, rubber, and cocoa. At the state level, a dedicated dialogue session for Fresh Fruit Bunch (FFB) traders, also known as ramp/dealers, was organised in Perak in August.

Mrs. Siti Mariyam noted that the programme on that day focused specifically on oil palm smallholders, bringing together relevant agencies to share technical information on regulatory compliance and licensing requirements related to the buying and selling of oil palm fruit in Malaysia. She also underscored the importance of smallholder inclusivity within the supply chain, given that smallholders contribute more than 40% of the nation's total palm oil production.

The opening session concluded with her invitation for participants to actively engage throughout the programme and to raise any questions or concerns with the agencies present. Participants were also informed of the availability of an MPOB licensing counter to facilitate new licence registrations as well as the renewal of expired or inactive licences.

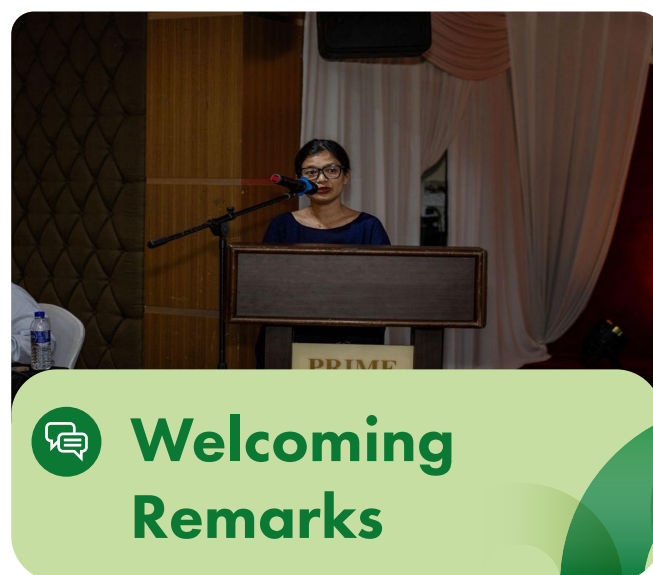


Figure 2: Janne Siregar, Jurisdiction and Commodity Lead for Southeast Asia of Tropical Forest Alliance (TFA)

The welcoming remarks were delivered by Janne Siregar, Jurisdiction and Commodity Lead for Southeast Asia at the Tropical Forest Alliance (TFA). In her remarks, she explained that the Jurisdictional Dialogue brings together key stakeholders from the palm oil sectors of Indonesia and Malaysia, in collaboration with Solidaridad, TFA, PISAgro, and CSP. The dialogue focuses on commodities covered under the European Union Deforestation Regulation (EUDR), including palm oil, cocoa, and rubber.

She highlighted that the dialogue addresses critical issues such as legality, traceability, and data provision, particularly within the context of regulatory infrastructure and supply chain readiness in producer countries. The platform is designed to provide insights into how national and sub-national policymakers can support smallholders, dealers, and millers in understanding EUDR requirements.

Janne Siregar further noted that the dialogue serves as a channel to capture local perspectives from smallholders in Kluang, with the goal of strengthening practical, on-the-ground implementation. As an example, she highlighted today's counter booth

facilitated by MPOB, which provides smallholders with direct support on license renewal and applications, as well as assistance with other licensing-related issues. She expressed hope that the Jurisdictional Dialogue would facilitate exchange of knowledge about what is EUDR and therefore enable smallholders in producer countries to supply required information by the dealers (traders) once the EUDR is activated.



Session 1

Understanding EUDR for companies

Figure 3: Ravisangkar Ramachandran, Senior Project Manager, Peterson Solutions

The session emphasized the importance for smallholders to understand how the European Union Deforestation Regulation (EUDR) works, particularly regarding the information they provide to buyers. The main objective of EUDR is to prevent deforestation by ensuring that commodities entering the EU market are legally produced, sustainable, and deforestation-free. The cutoff date under EUDR is 31 December 2020. Products placed or exported to the EU for seven commodities, namely palm oil, cocoa, rubber, cattle, soy, coffee, and wood, must demonstrate that they were not sourced from farms where deforestation or forest degradation occurred after this date. Farms cultivated before 31 December 2020 are considered compliant only if no deforestation or land conversion occurred after the cutoff date.

Under EUDR, an oil palm plantation is not classified as a forest because a forest must comprise multiple species, while oil palm is a mono-crop, therefore the land is categorized as for “agricultural use”, which

means the use of land for the purpose of agriculture, including for agricultural plantations and set-aside for agricultural areas, and livestock rearing, with the trees being deliberately planted and managed to produce marketable crops rather than occurring naturally. A forest under EUDR is defined as an area of at least 0,5 hectares with a minimum canopy cover of 10% and trees higher than 5 meters. Smallholders were reminded of two key requirements. First, no land conversion from forest is allowed after 31 December 2020, and second, farms must comply with national legal requirements.

Geolocation should be expressed using latitude and longitude coordinates with one point (for plots of land of a size below four hectares). For land exceeding four hectares, EUDR requires polygon coordinates outlining the land boundary, with at least six decimal digits. Recent EUDR updates have updated definitions for small and micro producers in low-risk countries, allowing farm addresses to be submitted instead of full coordinates in certain cases, reducing administrative burden. It is important to mention that this requirement is only relevant if those small and micro producers are placing the products on the EU market.

The products must also comply with national laws, including a formal acknowledgment for Native Customary Rights land in Sarawak. Environmental laws, including the Malaysian Sustainable Palm Oil regulations and the Environmental Quality Act 1974, must be followed to prevent deforestation, forest degradation, pollution, and to regulate pesticide use while promoting biodiversity conservation. Labour rights must comply with international human rights law, ensuring that farm workers are protected, fairly paid, and that child labour is prohibited.

The risk of deforestation and illegality in Malaysian commodities is considered low. However, companies need to conduct due diligence, collecting geolocation data and further information to assess the risk of non-compliance. EUDR compliance does not automatically guarantee premium prices, as pricing depends on supply and demand. The European Union remains committed to supporting producer countries in achieving compliance, providing technical assistance, and guidance to farmers.



Figure 4: Khairul Aman Mohd Syah, Chairman of NASH Johor, is asking a question to Ravisangkar



Q&A Session

1. Why are oil palm plantations not considered forests?



Answer

Oil palm plantations are not considered forests because, according to the FAO's definition, a forest must contain a diverse mix of species and is not only under agricultural use.. Oil palm plantations are monocultures, meaning they consist of only one type of tree, which significantly reduces biodiversity. Unlike natural forests, they lack the variety of plants and animals that make forests ecologically rich and resilient.

2. If the land is over 4 hectares, can the polygon be determined from a boundary stone?



Answer

Yes, it can. Boundary stones act as physical markers for farm limits, property lines, and internal block divisions, ensuring plot demarcation and legal compliance that is recognised by the Department of Land and Survey or a certified surveyor.

3. Regarding the EU's palm oil ban, how will EUDR impact Malaysia's palm oil export to the region?



Answer

The EU still buys palm oil, but EUDR aims to discourage deforestation activities. Most Malaysian commodities are essentially compliant, and MPOB and MRB are enhancing data collection for traceability.

4. Will EUDR-compliant products receive a premium price?



Answer

Unlike RSPO, EUDR never explicitly stated that a higher price would be granted. The price depends on the supply and demand for EUDR compliance.

6. How much oil palm is Malaysia supplying to Europe?



Answer

The EU does not import as much palm oil from Malaysia compared to China and India.

*According to [The Edge Malaysia](#), EU is the third largest palm oil importer for Malaysia, 944,567 tonnes shipped from January to November 2025, accounting for about 6.8% of total Malaysian palm oil exports.

6. Why is Malaysia obliged to comply with EUDR despite the EU not being the main importer?



Answer

Many Fast-Moving Consumer Goods (FMCG) that contain palm oil are exported to Europe. Therefore, FMCG companies must prove their ingredients are sustainably sourced, which necessitates EUDR compliance for the palm oil used.

Smallholder Comment: Smallholders are generally willing to comply, but many encounter challenges related to land title and inheritance issues. They suggested that government agencies, such as the Department of Land and Survey, should provide support in resolving these matters to enable full compliance.



Figure 5: Nurul Anuar Azman, Head of Office, Licensing & Enforcement Division, MPOB Kluang

The session highlighted the role of the Malaysian Palm Oil Board (MPOB), which was formed from the merger of Palm Oil Research Institute of Malaysia (PORIM) and Palm Oil Registration and Licensing Authority (PORLA).. MPOB functions as the agency responsible for administering, controlling, and supervising all activities related to palm oil, ensuring the integrity of the industry and protecting stakeholders, including smallholders. MPOB operates under the MPOB Act 1998, which sets out regulations covering licensing, quality, compounds, and levy.

All activities involving oil palm products, from production and sale to export and manufacturing, must be licensed. The only exception is the storage of palm oil products in packages not exceeding 25 kilograms. Licensing applications are managed through the e-LesenPK system, but smallholders can also visit regional MPOB offices for assistance. Licenses are free and valid for five years, although a late renewal incurs a fee of RM50.

LESEN MPOB

QR Code Validation

No. Lesen: **622855011000**

No. Register Pemohon: **PA0-0143074**

Nama Syarikat: **JOHAWAKI FARM SDN. BHD.**

Tarikh Cuti: **21 Sep 2024**

Alamat Premis: **LOT 247, MUKIM JAYA BARU, PERAK TENGAH, PERAK**

Aktiviti Perolehan: **1. Menghasilkan SUGBIF #
2. Menjual dan mengalihkan SUGBIF #
3. Menyimpan SUGBIF #**

Kawasan: **Perak**

Daya Pemrosesan: **Lot 247, Mukim Jaya Baru, Perak Tengah, Perak**

Tarikh Sah Lesen: **Dari 21 Sep 2024 sehingga 31 Aug 2025**

Status Lesen: **Sah**

LESEN MPOB

AKTA LEMBAGA MINYAK SAWIT MALAYSIA 1998

PERATURAN/PERATURAN LEMBAGA MINYAK SAWIT MALAYSIA (PElesenan) 2005

Menurut Peraturan/Peraturan Lembaga Minyak Sawit Malaysia (PElesenan) 2005 dan tertakluk kepada syarat dalam atau yang dilampirkan atau dikenakan pada lesen ini, Lembaga dengan ini mengeluarkan lesen yang berikut ini kepada:

JOHAWAKI FARM SDN. BHD. (NO. PENDAFTARAN: 605700-D)

dari **NO. 36A, JALAN DATUK SULAIMAN TAMAN TUN DR ISMAIL, 60000 KUALA LUMPUR, WILAYAH PERSEKUTUAN KUALA LUMPUR**

bagi:

No.	Aktiviti Berlesen	Keluaran Kelapa Sawit
1.	Menghasilkan	SUGBIF #
2.	Menjual dan mengalihkan	SUGBIF #
3.	Menyimpan	SUGBIF #

Bagi tempoh **Satu (01) tahun** bermula dari **21/09/2024** hingga **31/08/2025**, termasuk kedua-dua tarikh di premis berlesen yang berikut:

LOT 247, MUKIM JAYA BARU, 32020 PERAK TENGAH, PERAK

Daya Pemrosesan Yang Dibenarkan

1. **Sah** buah kelapa sawit setahun

2. **RM300**

Kategori: **NIH**

Bertarikh: **21/09/2024**

Ditulis Dr. Ahmad Farveez H. Ghulam Kadir
Ketua Pengarah
Lembaga Minyak Sawit Malaysia

No.	Keluaran Kelapa Sawit	Spesifikasi	Keluaran Kelapa Sawit	Spesifikasi
1.	Menghasilkan	247	Arak (buah) Kelapa Sawit Dried	SLC100
2.	Menghasilkan	247	Tanah/Tanah (dalam) Tisu Kelapa Sawit	PGDP
3.	Menghasilkan	247	Tanah/Tanah (dalam) Tisu Kelapa Sawit	PGDP
4.	Menghasilkan	247	Melaka Sawit Meringe	QDQ
5.	Menghasilkan	247	Melaka Sawit Meringe	QDQ
6.	Menghasilkan	247	Melaka Sawit Meringe	QDQ
7.	Menghasilkan	247	Melaka Sawit Meringe	QDQ
8.	Menghasilkan	247	Melaka Sawit Meringe	QDQ
9.	Menghasilkan	247	Melaka Sawit Meringe	QDQ
10.	Menghasilkan	247	Melaka Sawit Meringe	QDQ

No. Sen : 293479

Lembaga Minyak Sawit Malaysia

MPOB

Figure 6: Example of MPOB License for Smallholders

Smallholders who wish to register must meet specific requirements. These include selling fresh fruit bunches (FFBs) from land they own or lease that is less than 100 acres, holding valid identification such as an ID card or company registration, and cultivating oil palm for at least two years. Required documents include land titles, lease or rental agreements, written approval for shared land, and identity documents with home addresses for each owner.

The MPOB license carries several important benefits. It is a legal requirement for smallholders, protects the rights of smallholders and farm workers, and ensures that business transactions are legal and pricing is fair. It also provides traceability for FFBs, allowing smallholders to participate in government incentive programs and enhancing their credibility. Furthermore, the license supports the sustainable palm oil industry by aligning with national and international requirements, including the Malaysian Sustainable Palm Oil (MSPO) certification and the European Union Deforestation Regulation (EUDR).

The MPOB license also serves as a legal document demonstrating that smallholders comply with national requirements. It ensures the traceability of FFB origins, which is a key requirement for EUDR compliance, and helps smallholders remain eligible to participate in both local and global supply chains.

In the Q&A session, MPOB provided clarifications on smallholders' concerns regarding rights to legal documentation, integrity of smallholders and dealers, and shared land ownership. Smallholders are required to retain the original copy of their MPOB license, while dealers keep a copy for record purposes. MPOB's Licensing and Enforcement Division conducts regular field and dealer inspections to ensure that only licensed smallholders supply fresh fruit bunches (FFBs).

Jointly owned land may be registered under separate names, although formal land division according to ownership shares is recommended prior to registration. In addition, the MPOB license serves as legal proof of compliance with national regulations and supports traceability requirements under the EUDR. For license renewal involving inherited land, an affidavit¹ and supporting documents such as a death certificate may be required, subject to verification by MPOB officers.



Figure 7: A smallholder is asking questions to Nurul Anuar

¹ Affidavit is a declaration within the renewal form confirming that all information provided is true.

MPOB Licensing Counter

As part of the Dialogue, the MPOB Licensing and Enforcement Division of Kluang established a dedicated counter to facilitate registration and renewal of MPOB licenses for smallholder participants, as well as to provide advisory services for smallholders seeking clarification, guidance, or advice on licensing, land status, and compliance matters. This initiative directly supports the Dialogue's objectives by improving understanding of Malaysian legal requirements, ensuring compliance with licensing regulations, and highlighting the link between national compliance and EU Deforestation Regulation (EUDR) requirements for sustainable supply chains.

Smallholders wishing to register or renew their licenses were required to provide:

1. Valid legal identification - either an ID card for individuals or official company/cooperative/partnership documents.
2. Proof of land or premises ownership, including land titles, lease agreements, or written approvals for shared land.

The licensing counter provided practical, hands-on guidance, allowing participants to clarify requirements, submit applications, and resolve issues related to license or land status. Smallholders who submitted applications during the session were assisted throughout the process to ensure successful approval by MPOB.

This activity also enhanced awareness of sustainability standards and certification requirements, such as MSPO Part 2-1, by demonstrating how proper licensing under MPOB contributes to traceability, credibility, and eligibility for both national and international supply chains. Furthermore, the session allowed participants to observe best practices and lessons learned for accelerating license applications and renewals at the district level, providing a model for other smallholders to follow.

Overall, the licensing counter not only ensured regulatory compliance but also strengthened smallholder readiness to participate in sustainable palm oil initiatives, bridging national legal frameworks with international market requirements under the EUDR.



Figure 8: Smallholder at MPOB Licensing counter



Session 3

Overview of MSPO Part 2-1 for Smallholders

Figure 9: Ahmad Soffian Ali, Executive, Industry Development Unit, MSPO

The session highlighted the Malaysian Sustainable Palm Oil (MSPO) certification, which is governed by MSPO, a government-linked body under the Ministry of Plantations and Commodities (MPC). The MSPO

certification was first introduced in 2015 through the MSPO 1.0 guidelines for voluntary certification. In 2017, the Malaysian government made MSPO certification mandatory and established a dedicated governing body to oversee its implementation. The MSPO 2.0 framework was launched in 2022 to cover the entire palm oil supply chain. Certification is currently mandatory for mills, plantations, palm kernel oil mills, crushers, and oleochemical operators, with collection centres set to comply starting next year. Over 90% of smallholders are already MSPO certified. While MSPO has eight scopes, smallholders need only focus on the General Principles for Smallholders, which are designed to be lighter and more accessible.

The certification process involves several steps, including preparation, application, preliminary audit, peer review, and the award of certification. Once awarded, the certification is valid for five years, with regular audits conducted throughout the period to ensure continued compliance. MPOB TUNAS officers are available to assist smallholders in preparing for the audits and meeting certification requirements.

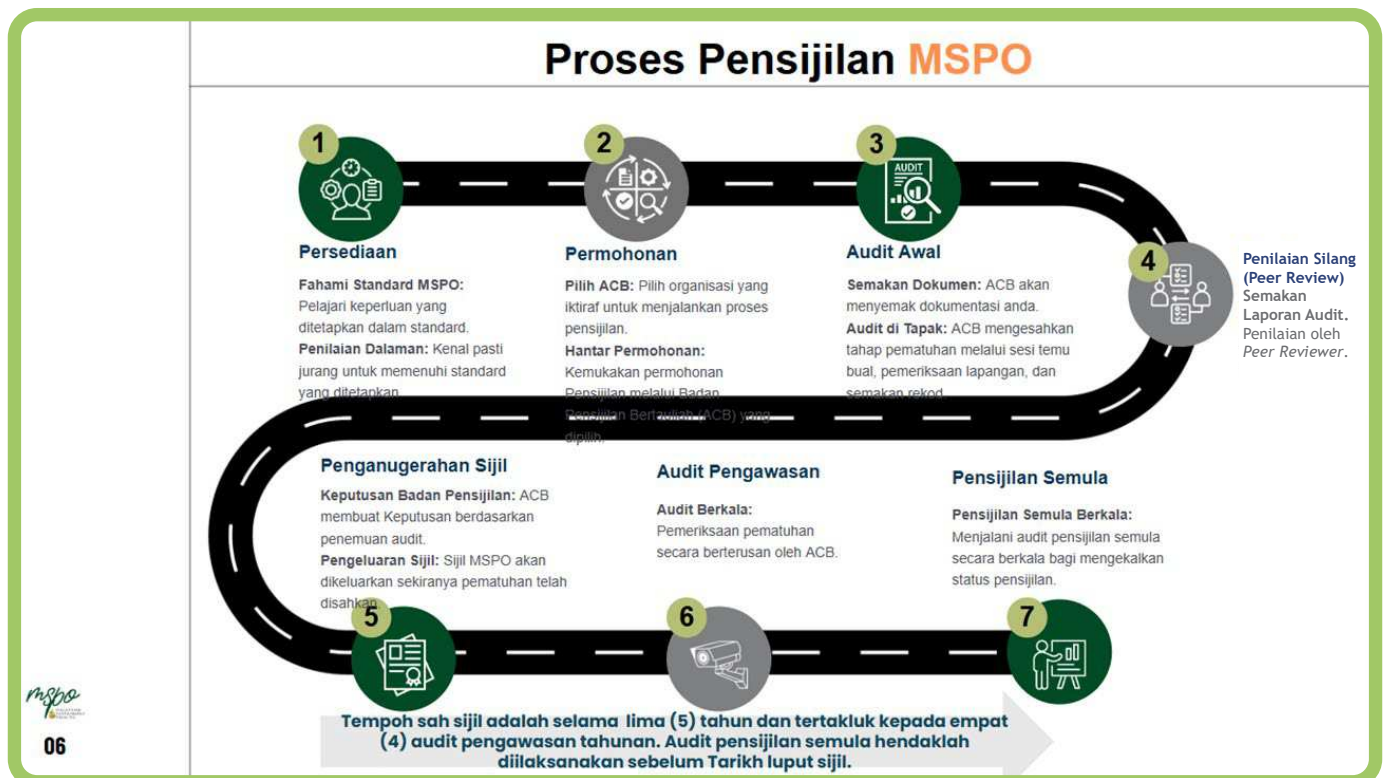


Figure 10: MSPO Certification Process Flow: (1) preparation, (2) application, (3) preliminary audit, (4) peer review, (5) award of certification, (6) audit, (7) re-certification

Smallholders are expected to adhere to the five core principles of MSPO. These include management commitment and individual responsibility, transparency, compliance with legal and other requirements, responsibility for social, health, safety, and employment conditions, and the sustainable management of the environment, natural resources, biodiversity, and ecosystem services. Compliance with these principles ensures that smallholders contribute to a sustainable palm oil industry and enhances their access to both local and international markets.

Five Principles of MSPO:

Management and commitment responsibility

Transparency

Compliance with laws and other requirement

Responsible to social, health, safety, and employment

Environment, resources, biodiversity and ecosystems services



Q&A Session

1. What is the relation between EUDR and MPOB registration, from MSPO's perspective?



Answer

MSPO certification supports EUDR compliance by providing verifiable documentation on legality and sustainability. It aids in the risk assessment required under EUDR, helping smallholders demonstrate that their palm oil is deforestation-free and in line with national standards.

2. Can MSPO come to the smallholder's village for a briefing session?



Answer

Yes, they can send a formal invitation to MSPO.

Smallholder Comment: Smallholders recommended that the government promote innovation to develop and diversify palm oil products.



Figure 11: Khairul Aman Mohd Syah, Chairman, NASH Johor

The session highlighted the role of the National Association of Smallholders (NASH), which has approximately 250,000 registered members. NASH Johor actively organizes field programmes in collaboration with NGOs to enhance smallholders' knowledge and capacity in good agricultural practices (GAP), including plantation management, fertilization, and accurate data collection. These initiatives are designed to support smallholders in meeting national

and international sustainability requirements, such as MSPO, RSPO, and the European Union Deforestation Regulation (EUDR). By equipping smallholders with practical skills and technical guidance, these programmes help ensure compliance and traceability, which are critical for accessing global markets.

Looking ahead to 2026, NASH plans to focus on specific districts in Johor, working closely with partners and Solidaridad to address recurring challenges faced by smallholders. The association also engages in advocacy, communicating with the Agriculture Executive Council of Johor² to raise concerns related to land title status and inheritance. NASH emphasizes that union membership is recommended for smallholders facing land title challenges, as unionized smallholders typically receive faster assistance from the state government.

Through training and technical support on certification and EUDR compliance, NASH plays an important role in promoting smallholder inclusivity in the palm oil supply chain. These efforts ensure that smallholders are empowered to meet both national legal requirements and international sustainability standards, helping them remain active participants in global markets while supporting a transparent and sustainable palm oil industry.

Q&A Session

1. How to contact NASH in Johor?



Answer

Khairul Aman provided contact information for several districts including Pontian, Labis, Batu Pahat, and Kluang.

Smallholder Comment: Some smallholders reported facing land title issues following the passing of the original owners (their parents). While they are skilled in farm management, they often lack proper documentation of both land ownership and farm performance.

² Affidavit is a declaration within the renewal form confirming that all information provided is true.



Session 5

Smallholder Inclusivity in EUDR-Compliant Supply Chain

Figure 12: Mohd Zahir Mohamed Said, Deputy Manager, Sustainability Department, Johor Plantation Group

The session featured an overview of the Johor Plantation Group (JPG), a subsidiary of Johor Corporation (JCORP), which manages 23 plantations and five mills, all certified under MSPO and RSPO. Nearly 30% of JPG's fresh fruit bunch (FFB) supply is sourced from dealers, who work with approximately 2,148 independent smallholders, all registered with MPOB.

EUDR compliance is a key priority for JPG, as smallholders contribute 40% of Malaysia's palm oil supply. Ensuring compliance enhances access to EU markets and reduces reputational risks for buyers. JPG has identified several challenges affecting smallholders, including documentation and traceability gaps, limited organizational capacity, productivity issues, and restricted access to funding.

To address these challenges, JPG established the Smallholder Inclusion Program (SIP) in 2012. The program aims to empower smallholders to produce sustainable, high-quality, and fully traceable FFB, while improving livelihoods through better productivity, pricing, and market access.

SIP has set clear aspirations for the coming years. These include maintaining 100% FFB external supplier traceability from 2025 onward, achieving full improvement of smallholder livelihoods through RSPO certification by 2035, and ensuring a 100% deforestation-free supply chain through EUDR compliance. RSPO-certified smallholders are also eligible for incentives.

The program is implemented through five main initiatives.



Supply Chain Traceability Program

Includes farm data collection (location/license/certification), dealer/ramp visits, and EUDR preparation.



Smallholder Training and Capacity Building

Offers training on GAP, Best Management Practices (BMP), EUDR, and farm SOP.



RSPO/MSPO Certification Initiative

Encourages Group Certification and provides technical assistance and training.



EUDR Compliance and NDPE Monitoring

Provides Geolocation Packages, technical support for polygon mapping, and satellite images to monitor deforestation.



External Supplier Townhall

Includes FFB Contract Signing Ceremony and briefings on NDPE Policy and EU market implications.



Q&A Session

1. How many collection centres/ramps are under JPG's supply chain?



Answer

JPG's supply chain includes 19 ramps receiving FFB from independent smallholders and 3 ramps for scheme smallholders. The list of ramps can be obtained from JPG officers at the event.

Conclusion

The Jurisdictional Dialogue in Johor concluded with a clear emphasis on preparing Malaysian oil palm smallholders to be able to provide information and documents to clients that need to meet the requirements of the European Union Deforestation Regulation (EUDR). Recognizing that smallholders contribute 40% of national palm oil production, the event highlighted that production in line with EUDR requirements, centered on the post-31 December 2020 cutoff, adherence to national laws, and provision of farm geolocation, is essential for maintaining market access. The role of local governance is critical. The mandatory MPOB license serves as the primary legal document for traceability and national compliance, while MSPO certification provides a supporting framework for EUDR risk assessment. Although the EU is not Malaysia's largest importer, the high demand from European-exporting Fast-Moving Consumer Goods companies makes EUDR compliance globally significant.

To address challenges such as documentation and traceability, a strong collaborative ecosystem has been established. Initiatives like Johor Plantation Group's Smallholder Inclusion Program provide smallholders with technical assistance, training, polygon mapping support (from JPG tool), and guidance on RSPO and MSPO certification as well as overall EUDR readiness. Organizations such as the National Association of Smallholders (NASH) actively advocate for smallholders, particularly on recurring issues like land title status and inheritance, which remain among the main barriers to full compliance.

The overarching message is that with sustained support, knowledge-sharing, and government intervention on land issues, the industry can achieve a fair, deforestation-free, and sustainable supply chain that ultimately benefits smallholders through improved incomes and access to both local and international markets.